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# The Property Owner's Tax Savings Blueprint

How Commercial Real Estate Owners Are Legally Saving
**$50K–$500K+ Per Building** Using Strategies Most CPAs Never Discuss

PREPARED BY INNOVATE REAL ESTATE
Tax · Energy · Wealth

INTRODUCTION

# Your Building is Hiding a Fortune

If you own commercial real estate and rely solely on your CPA's standard depreciation schedule, you are almost certainly overpaying federal taxes by **20% to 40%** every single year. The tax code rewards property owners who know where to look — but most accountants are trained in compliance, not in the engineering-driven strategies that unlock real cash.

The difference between straight-line depreciation and a fully engineered tax strategy is not a rounding error. It's often the equivalent of an additional down payment on your next building — money that is already legally yours if you know how to claim it.

> THE OPPORTUNITY
>
> The average cost segregation study identifies $100,000–$500,000+ in accelerated depreciation for a $1M+ commercial property — deductions that can be claimed in the first year rather than spread over 39.

## What You'll Learn Inside

- The five tax strategies we stack to generate the largest possible first-year deduction.
- How to qualify — and how much each strategy is realistically worth on a typical property.
- Why most CPAs only know one or two of these — and how to correct that on your return.
- Real-world examples showing how the strategies compound when combined.


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STRATEGY #1

# Cost Segregation

## What It Is

An engineering-based analysis that reclassifies building components from the default 39-year commercial depreciation schedule into much shorter **5-, 7-, and 15-year categories**. Rather than depreciating an entire building evenly over four decades, engineers segment out the components that the IRS allows you to accelerate.

## How It Works

A licensed engineering team inspects the property — on site and through construction documents — and systematically identifies every component that qualifies for a shorter recovery period: interior finishes, specialty electrical, dedicated plumbing, decorative millwork, site improvements, parking, landscaping, and more. Each item is documented, valued, and defended in an IRS-ready report.

## Who Qualifies

Any owner of commercial property valued at **$750K or more** — whether the building was purchased, constructed, or substantially renovated. This includes office, industrial, multifamily, retail, medical, hospitality, and self-storage assets.

> REAL-WORLD EXAMPLE
>
> A $2M office building → approximately $380K in first-year tax deductions → roughly $95K+ in cash tax savings at a 25% effective tax rate.

**Retroactive application.** If you've owned the building for years and never ran a study, you can still capture every missed deduction in the current tax year through an automatic IRS method change (Form 3115) — **no amended returns required**.


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STRATEGY #2

# Tangible Property Regulations

*Repair vs. Capitalize — Knowing the Difference is Worth Six Figures*

## What It Is

A set of IRS regulations (the Tangible Property Regulations, or TPRs) that determine whether a given building expense must be **capitalized** and depreciated slowly, or can be **immediately deducted** as a repair in the year incurred. The regulations include the Routine Maintenance Safe Harbor, the Small Taxpayer Safe Harbor, and the De Minimis Safe Harbor.

## Why It Matters

Most property owners — and their CPAs — default to capitalizing any meaningful building expense. That's expensive. A correctly applied TPR analysis often reveals that significant portions of so-called improvements are in fact repairs, and are **fully deductible in the year they occur** rather than stretched over 39.

## Common Items to Re-Examine

- Roof work — repairs versus full replacement.
- HVAC component swaps (not entire system replacement).
- Plumbing and electrical repairs below the unit-of-property threshold.
- Partial asset dispositions when components are removed.

> REAL-WORLD EXAMPLE
>
> A $150K roof repair → potentially fully deductible in Year 1 instead of depreciated over 39 years. At a 30% tax rate, that's the difference between $45K of cash back now versus roughly $1,150 per year for decades.


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STRATEGY #3

# 263A UNICAP Exemption

## What It Is

Section 263A of the Internal Revenue Code — the Uniform Capitalization rules — requires many businesses to capitalize certain indirect costs (labor, overhead, storage, handling) into inventory or into self-constructed property. These capitalized costs then get recovered slowly over time instead of being deducted today.

## The Exemption Most Businesses Miss

Thanks to the Tax Cuts and Jobs Act, businesses with **average annual gross receipts under the inflation-indexed small-business threshold (currently around $30M)** are exempt from UNICAP. Yet many qualifying companies are still capitalizing these costs on autopilot, because no one ever reviewed the election.

## Who Benefits Most

- Real estate developers and homebuilders with construction in progress.
- Manufacturers and product companies carrying inventory.
- Growing operators that crossed into UNICAP years ago and never revisited the election.

> THE SAVINGS
>
> Claiming the exemption allows immediate expensing of costs that were previously being capitalized — often producing a large one-time catch-up deduction in the year of the accounting method change.


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STRATEGY #4

# 179D Energy Efficient Deduction

## What It Is

Section 179D is a federal tax deduction of **up to $5.65 per square foot** for energy-efficient improvements to commercial buildings — specifically to HVAC and hot water systems, interior lighting, and the building envelope (walls, roof, windows, insulation).

## The IRA Expansion

The Inflation Reduction Act of 2022 **dramatically expanded 179D**. The maximum deduction more than tripled from the prior $1.80/sq ft cap, the qualification bar was lowered, and the deduction is now available annually rather than once per building lifetime. For qualifying building owners, this is the single largest energy-related tax incentive in U.S. history.

## Who Qualifies

- Commercial building owners who install qualifying HVAC, lighting, or envelope improvements.
- Designers of buildings owned by tax-exempt entities (government, nonprofits, tribal, REITs).
- Owners completing new construction, major renovations, or retrofits that meet ASHRAE targets.

> REAL-WORLD EXAMPLE
>
> A 50,000 sq ft building with qualifying improvements → up to $282,500 in deductions in a single tax year.


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STRATEGY #5

# R&D Tax Credits for Real Estate

## What It Is

The federal Research & Development tax credit (IRC §41) is widely associated with pharma and tech companies — and most real estate developers and construction firms never consider it. That's a mistake. A surprising number of routine design and construction activities meet the **four-part test** for qualified research.

## Qualifying Activities in Real Estate

- Design of new building types, layouts, or structural systems.
- Development of custom HVAC, mechanical, or energy-management systems.
- Engineering work to solve site-specific technical or environmental challenges.
- Green building methods, sustainable materials, and prototype testing.
- Software, BIM, and modeling tools developed in-house by the firm.

## The Credit — and Why It's Better Than a Deduction

Unlike a deduction (which reduces taxable income), the R&D credit is a **dollar-for-dollar reduction of tax owed**. The credit is typically worth **6% to 8% of qualifying expenses**, and qualified small businesses can apply up to $500K per year against payroll taxes if income tax liability is insufficient.


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THE COMPOUNDING EFFECT

# Stacking Strategies

Any one of these strategies — on its own — can deliver a meaningful tax benefit. But the real leverage comes from **stacking them on the same property in the same year**. Each strategy addresses a different section of the tax code, which means they work in parallel, not in conflict.

| Strategy | What It Targets | First-Year Deduction |
|---|---|---|
| **Cost Segregation** | Accelerated depreciation (5/7/15-yr) | **$125,000** |
| **Tangible Property Regs** | Reclassify repairs as expenses | **$45,000** |
| **179D Energy Deduction** | Energy-efficient improvements | **$85,000** |
| **R&D Tax Credits** | Design & engineering activities | **$35,000** |
| **Total Stacked Benefit** | **First-year deductions + credits** | **$290,000** |

*Illustrative example for a $3M commercial property. Actual results vary by property type, use, construction details, and ownership structure.*

THE INNOVATE DIFFERENCE

Most CPAs only know about one or two of these strategies. We implement all five — and we coordinate them so every dollar of deduction compounds correctly with the others.


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ABOUT US

# Why Innovate Real Estate

| 3× | $100M+ | 350+ |
|---|---|---|
| INC 500 RECIPIENT | IN TAX SAVINGS DELIVERED | CLIENTS SERVED |

We don't just do cost segregation. **We engineer complete tax strategies.** Every engagement is led by credentialed engineers, tax attorneys, and CPAs working together — so your deductions are defensible, your documentation is audit-ready, and no strategy is left on the table.

## Leadership

**Rob Schell** · Principal, Tax Energy & Financial Advisor
Rob leads the firm's energy and financial advisory practice, architecting multi-strategy tax engagements for owners of commercial and industrial real estate. He combines deep technical knowledge of 179D, cost segregation, and R&D credits with a hands-on approach to building long-term client wealth — not just one-off deductions.

**Lauren Burgess** · Principal
Lauren oversees client strategy and the firm's engineering operations. She ensures every study is delivered with rigor, documentation, and the full IRS-ready defense package — and that clients understand exactly how each dollar of savings was earned.

**Emily Everts** · Chief Operating Officer
Emily runs day-to-day operations, project delivery, and client success — keeping every engagement on schedule and every deliverable polished.

# Ready to Start Saving?

## Schedule Your Free Strategic Consultation

We'll analyze your portfolio and identify every available strategy to reduce your tax burden — at no cost, and no obligation.

BOOK YOUR CONSULTATION

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